



Time: 5 minutes

Outcome: Read AD, SRAS, and LRAS together to diagnose short-run output gaps.

Difficulty: ●●● Advanced

AD-AS Equilibrium and Output Gaps



THE CORE IDEA

Short-run equilibrium occurs where aggregate demand (AD) intersects short-run aggregate supply (SRAS). Long-run aggregate supply (LRAS) marks potential output. An intersection left of LRAS is a recessionary gap; one right of LRAS is an inflationary gap. Long-run equilibrium requires all three curves to meet at potential output.



HOW TO RECOGNIZE IT

- First locate the active AD-SRAS intersection; then compare its output with LRAS.
- Left of LRAS: recessionary gap and output below potential.
- Right of LRAS: inflationary gap and output above potential.
- At LRAS: output equals potential, though the equilibrium price level can differ across scenarios.

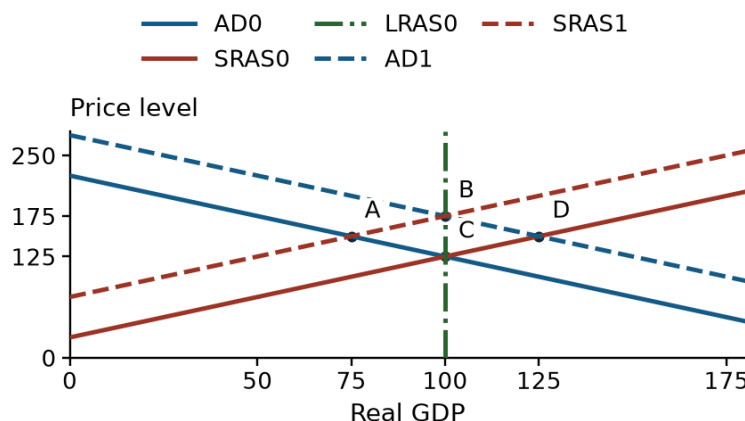


WATCH OUT

Do not call the rightmost or highest labeled point long-run equilibrium. A point is long-run equilibrium only when its output lies on LRAS and both AD and SRAS pass through it.



WORKED EXAMPLE: SHORT RUN VERSUS LONG RUN



Point C is initial long-run equilibrium at output 100 and price level 125. AD rises from AD0 to AD1, moving short-run equilibrium to D at output 125 and price level 150: an inflationary gap. Later SRAS shifts left to SRAS1, moving equilibrium to B on LRAS at output 100 and price level 175.



CHECK YOURSELF

An AD-SRAS intersection lies left of LRAS. What gap exists, and how does actual output compare with potential?



READY?

Return to the game and master this concept.